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VISIONIAS

Registration No. 46104254 — Classroom Assignment Sheet — Assignment Code 161044

Name: JAYANT KUMAWAT

Subject: MH Batch: RB33 Submission Date 23/7/26 Total Marks

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5/10

Question - Critically examine Dadabhai Naoroji's Drain of Wealth Theory, highlighting its Components & its Significance in mobilizing support for the early Indian National movement. 10m

The Drain of wealth theory transformed the Indian National movement from an emotional protest into an evidence based on economic critique of colonialism. By demonstrating that poverty in India was not merely because of internal stagnation but also due to systematic transfer of resources abroad, Dadabhai Naoroji gave Indian National movement its first coherent ideology.

Excellent introduction highlighting how the Drain theory transformed the national movement from emotional protest to evidence-based critique.

By the late 19th century, economic nationalism took roots in India which led to a comprehensive critique of British rule in India.

- Poverty & unbritish rule in India - Dadabhai Naoroji
- Essays on Indian Economics - MG Ranadey.
- Economic History of India - RC Dutt
- G Subramaniya Iyer etc.

Good use of flowchart to establish context, though note that 'Essays on Indian Economics' was written by Ranade, not Dutt.

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Components of Drain of Wealth

1) **Home Charges** – These were expenditure incurred in England on behalf of India by the office of Secretary of state.

Your components are well-identified but the numbering system (1, 2, 3B, 4C, 5D) creates confusion. Consider using a consistent numbering pattern for clarity.

Home charges

Pensions

Drain of wealth in form of Payments (A)

- Pensions and furloughs (kind of paid leaves) by British officials.
- Remmittances to Britain by European employees in India
- Indian office expenses in England.

(B) **Interest on Public Debt** – The East India Company had acquired huge debt globally, mainly to remove Indian rulers from their territories.

(C) **Purchased stores in England** – The Secretary of state and govt. of India had purchased stores in England for departments such as civil, military & marine. This comprised roughly 10-12% of Home charges.

(D) **Council Bills** – Use by EIC officials like "cheques" to use Indian Money for own & local needs.

Council Bills weren't primarily 'cheques' used by EIC officials but a government mechanism for transferring funds from India to England after 1858.

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	Context	Content	Structure - presentation	Language	Word limit	Overall performance
Excellent						
Good						
Average						

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Question -

2 Military Expenditure - EIC provided military assistance to Indian princes. Most of the funds allocated for this were filling the pockets of Britis citizens.

3 Payment on Insurance, Banking and Shipping - India made huge payments for these services. Moreover, it also affected Indian enterprises.

Good point about trade imbalance. You could strengthen this by noting that India had a trade surplus in goods that was offset by 'invisible' payments to Britain.

4 Revenue outflow - The excess of exports over imports reaped no material or economic benefit to India as the exports were raw materials at cheap prices and imports were expensive & inflated machine-made goods from Britain. It created a huge trade imbalance for India.

5 Managing Agency System - The emergence of managing agency system to led the managing agencies to become a cornerstone of Indo-British economic relations.

The managing agencies such as Carr, Tagore & Company (Indigo and opium trade), Andrew and Yule (Jute mills & plantations) looked into the

Effective analysis of the managing agency system showing how it created 'capital inflow with vested interest' - demonstrates nuanced understanding.

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daily operations of industries in India on behalf of European Capitalists. This led to a huge capital inflow in India, but with a vested interest and a heavy security of investment which anyways became a good business model for extracting India's wealth.

Significance in mobilizing support for early Indian National movement

① The poverty in India was backed by the evidence of drain of wealth theory, which led to further introspection among masses.

② It appealed to the masses that they are taxed to ensure the better life for citizens of Britain.

③ Evidences given by R.C. Dutt – "The richest (42£/capi) nation in the world was taxing the nation of peasants with just £2 per capita income was bleeding India endlessly".

Thus, the Drain of wealth theory transformed the Indian National movement from petitions seeking administrative reforms to a broader realization that progress of a Nation is IMPOSSIBLE without political autonomy. In this sense, it sowed the intellectual seeds of "SWARAJ".

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Well explained how the theory appealed to masses by showing they were 'taxed to ensure better life for citizens of Britain' - captures its mobilizing power.

Strong conclusion connecting economic critique to political demands, showing how the theory 'sowed intellectual seeds of Swaraj.

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